In her Budget speech delivered on 1 February 2021, the finance minister had to come up with a staggeringly high number for the fiscal deficit, at 9.5 per cent for the RE of 2020–21.

For 2021–22, the fiscal deficit was projected to be Rs 15.07 lakh crore, or 6.8 per cent of the projected GDP of 2021–22. Thus, the debt would fund 54 per cent of the government's total expenditure of Rs 34.50 lakh crore (revised) for 2020–21 and 43 per cent of the total expenditure of Rs 34.83 lakh crore for 2021–22.

Stymied Privatization Push

The government announced its intention on 18 May 2020 to formulate a new coherent Public-Sector Enterprises Policy to push reforms in Central Public Sector Enterprises (CPSE). The pivot of the policy was to retain a maximum of four public-sector companies in 'strategic sectors' and privatize every other CPSE. The Budget Speech for 2021–22 outlined the policy. The policy covered all existing CPSEs, PSBs and public-sector insurance companies.

To put the new CPSE policy into action, the finance minister announced the privatization of two PSBs and one general insurance company in 2021–22. To signal the serious resolve of the government on this score, she mentioned that a bill to bring about the necessary legislative amendments would be introduced in the Budget session itself.

There was no follow-through on the ambitious reform agenda of privatization of banks until December 2021. The government did not introduce the bill to provide for privatization of banks. No action was initiated on identification and appointment of transaction advisers for privatization of two banks and an insurance company. Privatization of BPCL, Container Corporation and SCI also did not proceed to any concluding stage until December 2021. The government could complete only Air India privatization.